INVESTMENT POLICY STATEMENT

Caplet

Ray W. | Ahaan D. | Darren W. | Harry Y. | Eric Z. | Young Y.

WInS Username: Caplet-10465936

Investment Strategy Elevator Pitch

Under Root-and-Branch, Laura's 2027 deposit buys Treasuries maturing before each of her ten $50,000 payments. Her 2028 deposit buys Treasuries securing a minimum facility contribution, and the rest buys global equities. In 2031 co-sponsors hear a range from that minimum upward, and her contribution stays within it.

Investment Policy Statement

This policy governs the portfolio Laura Gao will fund with $300,000 in January 2027 and $150,000 in January 2028 for the Taiwan creative residency she plans to open in 2033. Its primary objective is to fund ten operating payments of $50,000, due each January from 2033 through 2042, with a high degree of certainty and without outside funding. By high certainty, we mean each payment is matched by a dated Treasury ETF or bond maturing just before it, so once purchased, it depends mainly on the US government. The secondary objective is a responsible 2033 facility contribution that leaves Laura financial flexibility.

Laura understands market volatility and is willing to take business risk, but her ability to take risk differs by goal. For the operating payments, the main risk is a shortfall, and her tolerance is below average because the residency's artists rely on that money. For facility money above a floor she can promise co-sponsors, her tolerance is above average. Her living costs are met elsewhere, so the portfolio needs no liquidity before 2033.

We call our liability-driven approach Root-and-Branch. The roots, meaning the payments and facility floor, are secured before anything is invested in the branch, the return-seeking portfolio. The January 2027 deposit buys the liability-hedging portfolio, latest payments first. This cash-flow matching, unlike immunization, needs no rebalancing. At late-September 2026 yields, the ten payments cost about $292,000; if yields fall over 0.3 percentage points before

January, the 2028 deposit completes them. The plan does not depend on today's high yields: with both deposits, only 2020-level yields could leave part of one payment unfunded. We checked this by pricing the payments on every month-end Treasury curve since 2000. From the 2028 remainder, we invest just enough in zero-coupon Treasuries that their late-2032 maturity value equals the whole remainder; that is Laura's facility floor. The rest, plus any 2027 remainder, forms the return-seeking portfolio, a global index fund held to 2033. From 2033 the hedging portfolio is the operating reserve, shrinking as each holding pays out. Our WInS portfolio shows the allocation after both deposits, scaled down.

A market decline can reduce the facility contribution, but not below the floor. Moving money from the floor into equities may raise expected returns, but equities can fall sharply over five years. We do not recommend it because Laura will quote the floor to co-sponsors in 2031. Inflation leaves the fixed payments unchanged but raises facility costs and erodes the floor's real value; the equity half Laura keeps is her first defense.

In 2031 Laura will give co-sponsors a range from the floor to the floor plus half the equity fund's value at that time. Her 2033 contribution will be the floor plus half the fund's value then, capped at the announced top, so it always falls within the range. The other half remains with Laura as a cushion if costs rise or co-sponsors fall short.